

AUDITED FINANCIAL RESULTS FOR THE YEAR ENDED 31 DECEMBER 2018

The Board of Directors of Britam Holdings Plc is pleased to announce the audited consolidated results for the year ended 31 December 2018.

PERFORMANCE OVERVIEW

The Group's gross earned premium and fund management fees registered a growth of 4% to Shs 25.0 billion from Shs 24.1 billion reported in 2017. Our life assurance business registered a higher than industry growth.

The Group returned a loss before tax of Shs 2.3 billion compared to a profit before tax of Shs 865.8 million reported in 2017. A total comprehensive loss of Shs 2.9 billion in 2018 compared to total comprehensive income of Shs 1.9 billion in 2017.

The reported loss is mainly attributable to:

- Unrealised loss in listed equities of Shs 3.2 billion compared to a gain of Shs 0.9 billion in 2017.
- Lower returns on our property investments due to the depressed property market.
- One-off cost as a result of the business restructuring.
- Provisions of the new IFRS 9 due to significant investments in financial assets.

The Group's core business performed well:

- Gross earned premium and fund management fees registered a growth of 4 percent to Shs 25.0 billion.
- Life assurance recorded a premium growth of 6 percent, a higher rate than the industry and continues cementing its position as the market leader. The embedded value increased to Shs 13.9 billion, a return of 10.5 percent.
- Our regional businesses contributed 18 percent of the Group's topline.
- Total assets increased to Shs 103.7 billion. This is post the early redemption of the Shs 6 billion corporate bond in October 2018.
- The shareholders' funds increased to Shs 23.9 billion a 6 per cent increase as a result of issuance of new shares to AfricInvest during the year.
- The asset management business continued its accelerated growth achieving Assets Under Management (AUM) of Shs 146.4 billion, a 14 per cent growth from last year.

Our Strategy

The Group continues to pursue its 2016-2020 strategy. In 2019, we will focus on;

- Revenue growth through our market leading financial advisory network of over 1,900 financial advisers which has won us the Association of Kenya Insurers company of the year award for 12 years in a row,
- Transformation of our customer experiences and offering supported by our investment in technology,
- Improving our reach to the currently uninsured market segments through our market leading microinsurance business.

Dividend

The Board of Directors do not recommend the payment a dividend for 2018.

Statement of profit or loss and other comprehensive income

	For the year ended 31 December	
	2018	2017
	Shs'000	Shs'000
Revenue		
Gross earned premiums	24,325,111	23,298,311
Less: reinsurance premium ceded	(3,263,451)	(3,000,191)
Net earned premiums	21,061,660	20,298,120
Fund management fees	661,113	760,630
Net income/(loss) from investment property	507,207	(607,261)
Interest and dividend income	6,160,381	5,053,975
Net realised gains/(losses) on financial assets at fair value through profit or loss	41,898	(88,308)
Net unrealised fair value (losses)/gains on financial assets	(3,091,171)	1,413,141
Commissions earned	857,381	744,492
Other income	195,142	261,885
Total income	26,393,611	27,836,674
Expenses		
Insurance claims and loss adjustment expenses	10,704,713	11,024,447
Amount recoverable from reinsurers	(1,630,406)	(2,385,116)
Change in actuarial value of policyholders benefits	5,172,833	3,859,430
Net insurance benefits and claims	14,247,140	12,498,761
Interest payments/increase in unit value	1,688,638	2,462,961
Operating and other expenses	8,244,558	7,355,818
Finance costs	905,567	1,186,147
Commissions expense	3,313,922	3,520,150
Total expenses	28,399,825	27,023,837
(Loss)/profit before share of the profit of the associate	(2,006,214)	812,837
Share of (loss)/profit of the associate accounted for using the equity method	(289,656)	53,006
(Loss)/profit before tax	(2,295,870)	865,843
Income tax credit/(expense)	85,585	(338,369)
(Loss)/profit for the year	(2,210,285)	527,474
Other comprehensive income:		
- Items that will not be reclassified to profit or loss	(622,534)	1,291,967
- Items that may be subsequently reclassified to profit or loss	(23,477)	88,709
Total other comprehensive (loss)/income	(646,011)	1,380,676
Total comprehensive (loss)/income for the year	(2,856,296)	1,908,150
Basic and diluted earnings per share	(0.92)	0.26

Consolidated statement of financial position

	As at 31 December	
	2018	2017
	Shs'000	Shs'000
Capital employed		
Share capital	252,344	216,260
Share premium	13,237,451	7,706,782
Other reserves	11,756,927	13,579,959
(Accumulated losses)/retained earnings	(1,387,488)	332,832
Proposed dividend	-	756,911
Shareholders' funds	23,859,234	22,592,744
Non-controlling interests	96,936	77,266
Total equity	23,956,170	22,670,010
Assets		
Property and equipment	1,365,422	1,503,409
Intangible assets	2,122,184	2,093,587
Investment in associates	2,923,611	5,021,902
Goodwill	1,558,433	1,558,433
Deferred income tax	633,484	450,398
Retirement benefit asset	210,796	221,167
Investment property	7,651,596	5,912,091
Investment in property funds	8,850,953	9,271,750
Financial assets at fair value through other comprehensive income	4,710,653	5,372,983
Financial assets at fair value through profit or loss	39,281,935	30,611,376
Government securities and corporate bonds at amortised cost	16,157,018	17,418,542
Mortgage loans and receivables	1,209,394	1,178,307
Loans and receivables to policyholders	1,301,118	1,076,466
Receivables arising out of reinsurance arrangements	703,320	645,487
Receivables arising out of direct insurance arrangements	2,317,194	2,161,466
Reinsurers' share of insurance liabilities	3,145,058	3,726,914
Deferred acquisition costs	482,053	464,148
Other receivables	1,944,610	1,644,946
Current income tax	320,498	221,139
Restricted cash	45,601	47,191
Cash and cash equivalents	6,721,401	8,423,155
Total assets	103,656,332	99,024,857
Liabilities		
Deferred income tax	2,831,319	3,424,054
Insurance contract liabilities	28,221,461	23,896,282
Payable under deposit administration contracts	34,174,911	28,017,662
Liabilities under investment contracts	3,003,326	4,025,507
Unearned premiums	4,696,248	4,572,067
Payables arising from reinsurance arrangements	1,252,887	752,226
Borrowings	2,786,861	7,963,470
Other payables	2,726,947	3,551,853
Current income tax	6,202	151,726
Total liabilities	79,700,162	76,354,847
Net assets	23,956,170	22,670,010

Consolidated statement of changes in equity

Year ended 31 December 2017	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Opening balance	193,841	4,263,412	11,874,244	897,351	581,525	17,810,373	67,223	17,877,596
Comprehensive income								
Profit for the year	-	-	295,059	222,372	-	517,431	10,043	527,474
Other comprehensive income, net of tax	-	-	1,380,676	-	-	1,380,676	-	1,380,676
Total comprehensive income for the year	-	-	1,675,735	222,372	-	1,898,107	10,043	1,908,150
Transfer to other reserves	-	-	29,980	(29,980)	-	-	-	-
Transactions with owners								
Issue of Shares	22,419	3,443,370	-	-	-	3,465,789	-	3,465,789
Dividends:								
- Final for 2016 paid	-	-	-	-	(581,525)	(581,525)	-	(581,525)
- Proposed final for 2017	-	-	-	(756,911)	756,911	-	-	-
Total transactions with owners of the parent recognised directly in equity	22,419	3,443,370	29,980	(786,891)	175,386	2,884,264	-	2,884,264
At end of year	216,260	7,706,782	13,579,959	332,832	756,911	22,592,744	77,266	22,670,010

Consolidated statement of changes in equity (continued)

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings/(Accumulated losses) Shs'000	Proposed dividend Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Year ended 31 December 2018								
Opening balance	216,260	7,706,782	13,579,959	332,832	756,911	22,592,744	77,266	22,670,010
Impact of adoption IFRS 9 phase 2	-	-	(63,269)	(444,339)	-	(507,608)	-	(507,608)
Share of associate's IFRS 9 & IFRS 15 Day 1 adjustment	-	-	(81,419)	(78,359)	-	(159,778)	-	(159,778)
Comprehensive income								
Loss for the year	-	-	(1,068,068)	(1,161,887)	-	(2,229,955)	19,670	(2,210,285)
Other comprehensive loss, net of tax	-	-	(646,011)	-	-	(646,011)	-	(646,011)
Total comprehensive loss for the year	-	-	(1,714,079)	(1,161,887)	-	(2,875,966)	19,670	(2,856,296)
Transfer to other reserves	-	-	35,735	(35,735)	-	-	-	-
Transactions with owners								
Issue of Shares	36,084	5,530,669	-	-	-	5,566,753	-	5,566,753
Dividends:								
- Final for 2017 paid	-	-	-	-	(756,911)	(756,911)	-	(756,911)
Total transactions with owners of the parent recognised directly in equity	36,084	5,530,669	35,735	(35,735)	(756,911)	4,809,842	-	4,809,842
At end of year	252,344	13,237,451	11,756,927	(1,387,488)	-	23,859,234	96,936	23,956,170

Consolidated statement of cash flows

For the year ended 31 December
2018
Shs'000

2017
Shs'000

Cash generated from operations	5,245,106	8,408,442
Income tax paid	(665,134)	(466,460)
Net cash generated from operating activities	4,579,972	7,941,982
Investing activities		
Purchase of property and equipment	(168,403)	(122,747)
Purchase of intangible assets	(366,838)	(434,556)
Purchase of investment property	(1,321,910)	(756,747)
Investment in property funds	411,473	(1,582,527)
Proceeds from disposal of fixed assets	11,205	6,436
Proceeds of disposal of quoted shares at fair value through other comprehensive income	-	341,961
Purchase of quoted shares at fair value through profit or loss	(1,267,763)	(1,328,014)
Proceeds of disposal of quoted ordinary shares at fair value through profit or loss	168,008	652,348
Net investment in unit trusts at fair value through profit or loss	723,919	1,099,877
Net investment in government securities at fair value through profit or loss	(9,768,850)	(10,007,036)
Net investment in government securities at amortised cost	953,928	937,895
Net investment in corporate bond held at amortised cost	174,671	230,568
Mortgage loans advanced	(150,777)	(197,655)
Mortgage loans repayments	202,650	297,384
Policy loans advanced	(1,212,025)	(1,115,251)
Policy loans repayments	1,154,578	999,291
Dividends received from associate	59,754	83,583
Dividends received from equity investments at fair value through profit or loss	537,566	472,526
Dividends received from equity investments at fair value through other comprehensive income	270,338	288,339
Rent and interest received	4,706,147	4,263,258
Net cash used in investing activities	(4,882,329)	(5,871,067)
Cash flows from financing activities		
Issue of new shares	5,720,000	3,553,375
Dividends paid	(756,911)	(581,525)
Bank loan received	2,774,000	205,000
Bank loan Paid	(1,819,000)	(1,780,000)
Medium Term Note Redeemed	(6,000,000)	-
Interest paid	(1,066,450)	(1,011,627)
Net cash (used in)/from financing activities	(1,148,361)	385,223
(Decrease)/increase in cash and cash equivalents	(1,450,718)	2,456,138
Cash and cash equivalents at start of year	8,423,155	5,967,017
Cash and cash equivalents at end of year	6,972,437	8,423,155